

2025 SECURITY **MEGATRENDS**™

THE ANNUAL VISION FOR THE SECURITY INDUSTRY



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2025 SECURITY MEGATRENDS™

SECURING THE CHANNEL



At SIA, our mission is to be a catalyst for success in the global security industry.

We serve the business community of our industry. At our core are the individuals and companies that develop, produce, install, integrate, design, specify, monitor and operate the products, solutions and services that keep our world safe.

Our member companies and their employees are our foundation, and to help keep our industry on the forefront of security, we endeavor to produce research and trends analysis that gives our members an edge and an eye to the future.

Our annual Security Megatrends report, first published with the 2017 report, and now in its ninth year with this 2025 report, is part of that commitment to keep you prepared for the future.

The future isn't always predictable, but it's always exciting. Artificial intelligence has burst upon our industry in recent years and holds great promise for our industry's future. We have watched as operational technology (OT) converges with information technology (IT) and simultaneously with all aspects of security—physical and cyber. These profound changes call upon us to adapt and to realign our industry to the needs of the modern business world.

Another area of rapid evolution we see today is the changes in technology and in business and delivery models that systems integration businesses face. Integrators are the second largest core of our membership, just after the technology solution producers (product manufacturers and software firms). The amount of upheaval facing today's integrators is profound. Technology producers are delivering more advanced solutions than the integrator has ever seen. The integrators are no longer connecting isolated solutions, but are delivering networked solutions that are fundamental to the end users' businesses, and must be competent in not only traditional security and safety requirements, but now are expected to interface those systems with other IT and OT systems, and must do so in a way that matches the customer's IT requirements and cyber security.

Simultaneously, today's systems integrator must ensure those systems are not only improving the organization's security but are providing business insights that transcend core security and safety needs – and they must do this while navigating business model changes that see more and more direct-to-customer sales, software-as-a-service and managed services revenue models that are unlike what they worked with even 5 or 10 years ago.

This year's Megatrends report ranks that "Evolution of the Channel" as the No. 1 trend facing the business of security, a theme that was heard repeatedly at the 2024 Securing New Ground conference and in the surveys and focus group calls that powered this year's report. The top ranking and deep focus we have put on this trend is not only seen in this year's Security Megatrends report, but in our early 2024 report "The Evolving Security Industry: The Adaptation of the Systems Integrator," along with our continued focus in providing online and in-person education and certification for integrators that ranges from our Security Industry Cybersecurity Certification (SICC), our Security Project Management training and certification programs, our Cornerstones modules for onboarding new employees, our GrantED training program to help integrators unlock grant opportunities for their clients, and various technical and business skill programs offered through our e-learning platform SIAcademy.

We remain committed to assisting our integrator members as they adapt and we believe that a vibrant channel is essential to the industry's overall health and to the business performance of ALL our members, including our SPARC community of corporate security leaders.

Special Thanks: We want to thank all our members who took time to participate in the annual survey, attend the Megatrends sessions at SNG, guest contributors and especially our advisory boards who served as focus groups. We also thank our SNG speakers, from whom many of these insights are drawn. We thank you for allowing us to help serve you and be a catalyst for your success!

Sincerely,
Scott Dunn

Chair, SIA Board of Directors

THANK YOU

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SNGTM

SECURINGNEWGROUND[®]

THE BUSINESS OF SECURITY

SAVE THE DATE

OCTOBER 14-15, 2025 | NYC



HOW WE DEFINED AND RESEARCHED THE 2024 SIA SECURITY MEGATRENDS

Each year at Securing New Ground (SNG), senior-level industry leaders and financial partners gather, trends are discussed, connections are formed and ideas are shared openly. In advance of SNG, as part of our annual membership survey, SIA asked hundreds of executives from SIA member companies what factors were shaping their business decisions and what trends they were watching. We then further surveyed SIA members, along with current and recent speakers and attendees of SNG about which previous trends were still relevant, which trends were no longer as impactful to the industry and which trends could be identified to be added to our report.

Simultaneous to the surveys at SNG and to the SIA membership, our group of SIA Megatrends advisors provided focused feedback on the megatrends via in-depth conversations and collaborative editing. The value of insights from these leaders and luminaries cannot be overstated (thank you, Steve, Tara, Eric, Devin, Bill, John, Kasia, Brian and Faisal).

In addition to the survey research and the focused conversations, the selection of these trends relies on the speakers, panel and audience members of SNG, because the conference is the ultimate proving ground for deep-dive discussions on what we can do as an industry to pave a successful future. A special session during the 2024 SNG conference (hosted by Van Till, Dunning and Yunag) provided additional feedback related to the Security Megatrends and helped generate some of the chart data included in this report. Lastly, as we authored this report, we tried to reflect not only the vendor/integrator/service provider side of the industry but to include again a brief reflection on how each trend may impact the security practitioner or CSO.

Through SIA's research and the vetting, validation and additional research that occurs during and after SNG, here we have, hopefully, not only captured the industry's driving forces in the 2025 Security Megatrends report, but also provided you insights and action items to facilitate a successful future in the security industry.

Geoff Kohl

Editor, 2025 Security Megatrends report
Sr. Director of Marketing, SIA

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EXECUTIVE TAKEAWAYS

"Rarely do we see a cyber-only or physical-only attack. The threat landscape is very blended."

– Brian Harrell, CSO, Avangrid, and member, SIA Board of Directors

"We have put a strong focus on AI. We want to get to more predictive security rather than reactive security and also do maintenance monitoring – we want the systems and devices to tell us when something is going to fail before it fails."

– Jeff Stanek, president, security, Honeywell

"Customers are recognizing their data is valuable. As an industry, we have a ton of data that has not been used to train these AI models."

– Pauline Nordstrom, founder and CEO, Anekanta Consulting, and member, SIA AI Advisory Board

"People don't understand the sustainability aspect of AI. It takes lots of power and cost to train and operate these models."

– Quang Trinh, business development manager – platform technologies, Axis Communications, and member, SIA AI Advisory Board

"Everyone is a hardware integrator, not a software integrator. AI will create confluences in workflow automation. From the manufacturing side, we need to align workflow automation with AI so that end users can see the benefits of it. How do you build the templates to create workflow automation so that the integrator can automate the integration of AI devices and AI software?"

– Niru Satgunananthan, head of ESS business development and solutions architecture, Johnson Controls, and member, SIA AI Advisory Board

"From the contract monitoring side, everyone has moved into interactive voice response state to reduce the number of nonessential phone calls. AI has helped reduce noise, but it's still a long way from AI contextualized monitoring. The contextualized piece is what has been missing."

– Kurt Takahashi, CEO, Netwatch

"Ethical use of AI is the top priority for us. We as manufacturers must demonstrate commitment to the ethical use of AI. We have three principles. Fake images can't be generated, machine learning must not be biased, and privacy must be protected with machine learning. We must demonstrate a commitment; otherwise, we shouldn't be allowed to use such new tech which has some risks."

– Masato Nakao, chairman and CEO, i-Pro

"There is unbelievable confusion in the systems integration community related to SaaS – unbelievable confusion as to how things should be priced, how the integrator fits into the traditional SaaS model versus perpetual licensing. Who wins and who suffers will be fascinating."

– Bill Bozeman, Security Megatrends Advisor and Chair, SIA AI Advisory Board

FOUNDATIONAL TRENDS

These trends, some previously long recognized as Security Megatrends, are now so much part of the fabric of the world that they are viewed no longer as future-looking megatrends, but instead as common concerns that all business leaders must manage as they operate within the security industry.



CYBERSECURITY



GLOBAL TENSIONS



CLOUD MODEL FOR TECHNOLOGY DELIVERY



CHANGING ECONOMIC CONDITIONS



SUPPLY CHAIN ASSURANCE



SUSTAINABILITY



WORKFORCE DEVELOPMENT



EVOLUTION OF THE CHANNEL



MEGATREND MOVEMENT

In both the Security Megatrends survey data and focus groups, there was no more important trend than the evolution of the channel, and it merged in and expanded beyond the 2024 Megatrend “SaaS Reshapes Integration Business Model” (ranked No. 6 in 2024).

Artificial intelligence (AI), cloud, technology upheaval, razor-thin margins, new competitors, changing requirements of end users: They’re all converging to create the most challenging wave of change the channel has ever seen, felt primarily in the systems integration channel.

The first challenge is the delivery model. As security devices become both more advanced and less expensive, system developers and providers are more often adopting a “direct to end user” model of sales. What’s more, these security-as-a-service (SaaS) models that often accompany such AI-enabled systems often do not connect the integrator to the recurring revenue stream, and that creates revenue problems for the integrator, says Bill Bozeman, a Megatrends advisor and chair of SIA’s AI Advisory Board. Bozeman emphasizes that

“We have lived in a relatively static world where the risks were redefined periodically and the technology moved relatively slowly. That is just not the case anymore. We are now required to deliver solutions differently and respond more dynamically to evolving risks. We must be able to put solutions in place, leverage these emerging technologies quickly to address these risks and respond to the threats and incidents that occur in the environments that we all work to protect.”

– ERIC YUNAG, EXECUTIVE VICE PRESIDENT OF PRODUCTS AND SERVICES, CONVERGINT, AT SECURING NEW GROUND (SNG) 2024

integrators need to invest in their employee skills and their own technology and “what could help the integrator is if they were part of the revenue share.”

The second challenge is the evolving value proposition of the integrator for security end users/practitioners. In the past, an integrator’s key value to practitioners was their ability to connect otherwise non-homogeneous systems (i.e., different vendors’ platforms and devices) and make them available at command stations, remote desktops or even the security teams’ mobile phones. Today, however, that availability is expected directly from the security system, and the real value to the end user is the insights and automation that can happen in these systems. The value is inherent in the software itself (be it AI or “AI lite”), not in the configuration, and there is a risk of the integrator being relegated to installer if they cannot keep up with technologies.

The final (and continuous) challenge the integrator is facing is technological upheaval—particularly in the area of new AI-enabled solutions. Like the move to IP that occurred in

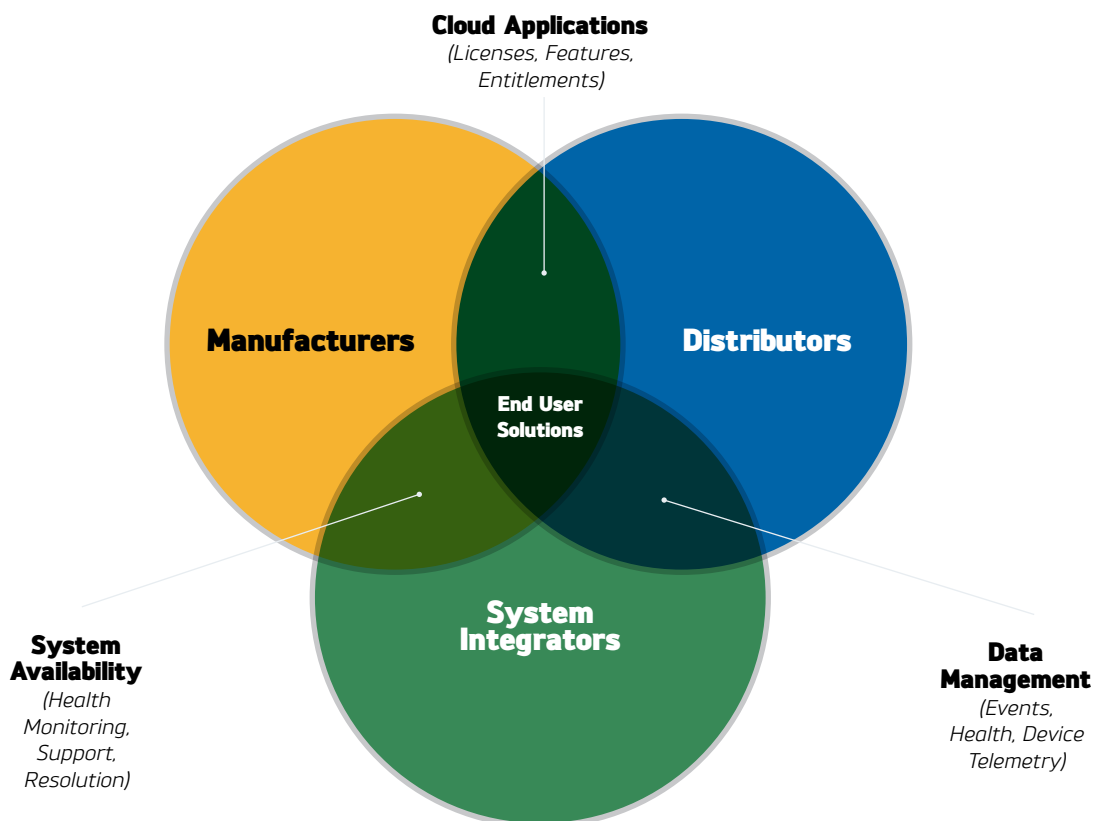
the 2000s and flipped the security industry from an alarm/low-voltage led industry to the network-focused industry of today, the wave of AI-enabled solutions coming to the market today is challenging the integrator to stay current on a suite of new technologies. This upheaval presents the need for new training and new skill sets in the integration workforce—which has already been challenged to hire technicians, engineers and other technical roles.

HOW THE MANUFACTURER CAN HELP

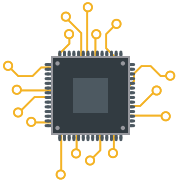
Systems integrators repeatedly recommend that manufacturers committed to supporting the channel react by providing integrators with deeper training on their AI systems. This allows support and advanced configuration to continue to be handled by the integrator, rather than bearing that work in their own support and professional services teams. Otherwise, says Matthew Starr, Motorola’s government affairs director for privacy and AI, we’ll continue to see “a lot of edge AI not getting turned on.”

CONVERGING AND COMPETING

In this Venn diagram presented at the 2024 SNG conference by Eric Yunag, it’s easy to see the overlaps and possible redundancy that is creating competition among distributors, manufacturers and systems integrators over the “customer ownership.” But even though the model creates competition, the customer’s goals and solutions are still kept at the center of the mission.



TRENDS IMPACTING THE CHANNEL



Technology Modernization

- Move to cloud/SaaS
- Internet of Things (IoT) architectures
- AI/machine learning
- Enterprise software
- Data convergence



End-User Requirements

- Enhanced stakeholder expectations
- Dynamic and evolving risks
- Access to funding/return on investment (ROI)
- Beyond security use cases
- Access to skills and expertise



Market Dynamics

- Workforce challenges
- Shift to service models
- Globalization
- Supply chain resilience
- Compliance



NEW ENTRANTS

The pace of technological change has already begun to change the landscape of integration providers. Respondents to the SIA Security Megatrends survey indicated presence of "new entrants from IT, AV, datacom and electrical integrators," and one executive wrote that "[as] physical security becomes more software-centric, large IT integrators and consultants (ex. PwC, Deloitte, EY) play a critical role in the buyer's journey and deployment experience." There is also a move to IT distribution. Companies in the classic IT distribution sector (e.g., Ingram Micro) are moving huge amounts of "security" gear outside of the traditional distribution channel, and there is an emergence of a service competitiveness inside this distribution channel. These firms provide kitting, programming, and hardening. "They have the muscle memory and scale to do what would be traditional integrator work," says Yunag. In addition, companies like Google and Apple coming in with broad influence (see Megatrend No. 7 "Democratization of Identity and Mobile Credentials.") These megatech companies claim a fundamental layer of the new access control sector.



ARE YOUR CHANNEL BUYERS CHANGING FROM THE TRADITIONAL SECURITY INTEGRATOR?

69.6%
YES

30.4%
NO

IMPACT ON THE PRACTITIONER

Rather than tell you what the practitioners are thinking, here we've let them tell you themselves:

"I've never had a technology DRI – a directly responsible individual. Who is the DRI for the technology from each integrator? They typically say their CTO, but the CTO manages their infrastructure. Who's going to understand my tech stack, my problem? If you're willing to embed an account manager on site, why can't you assign a tech manager for me? It's no longer about access control and cameras – it's about the security systems we have, and no integrator seems to want to spend time understanding our problem as a whole."

– King Lam, corporate security, Apple

"As quickly as manufacturers are innovating, they need to make sure integrators are just as up to speed on what's possible. We'd like them fully embedded in our teams so they understand our needs and wants. Manufacturers need to include integrators on their latest offerings, latest upgrades, etc., so they can be effective intermediaries."

– Shanel Balloo, senior manager, new technology and innovation, Salesforce

SYSTEM INTEGRATORS

TRADITIONAL ROLES

Technical Expertise

- Focused on physical security systems
- Limited data and cybersecurity capabilities

Business Model

- Revenue from hardware sales and installation fees
- Dependent primarily on new projects for income

End User Engagement

- Installation and maintenance of hardware systems
- Reactive support upon customer request

EVOLVING ROLES

- Skilled in data integration, cybersecurity, AI, and IoT
- Integrate multi-vendor and cross-platform solutions

- Shift to recurring revenue models
- Offer monitoring and maintenance services

- Installation and maintenance of hardware systems
- Reactive support upon customer request

MANUFACTURERS

Product Development

- Hardware-centric products
- Infrequent product updates

Business Model

- One-time hardware sales
- Minimal recurring revenue streams

End User Engagement

- Sold products through distributors and integrators
- Limited direct engagement with end users

- Develop integrated hardware and software solutions
- Regular updates and features via cloud platforms

- Offer expanded configuration and professional services
- Generate recurring revenue with SaaS licences

- Interact directly on system support and health monitoring
- Offer products through digital marketplaces and direct channels

DISTRIBUTORS

Value-Added Services

- Offered basic technical support
- Kitting and staging of products

Business Model

- Warehousing and logistics for physical products
- Order fulfillment between manufacturers and integrators

End User Engagement

- Transactional relationships
- Minimal marketing support

- Provide supply chain solutions for physical and digital products
- Expand pre-deployment configuration of systems

- Manage digital distribution of software and cloud services
- Offer financing models for subscriptions and services

- Collaborate on marketing initiatives and demand generation
- Act as knowledge hubs on emerging technologies

5 OPPORTUNITIES INTEGRATORS

Faced with the challenges, integration providers have opportunities to double down on customer needs, emphasize the “security” of being a security integrator and become ever more cognizant of the business and the advanced security needs of their customers, the end users. These opportunities generally align with the following five areas:



1

EMBED TECHNICAL SECURITY TEAM MEMBERS WITH THEIR CLIENTS.

Whether that’s on a full- or part-time basis, it allows the embedded team members to become more deeply skilled in the technical systems of their clients (and allows integration executives to focus team members’ training nearly exclusively on the systems they touch daily).



2

DELIVER TRUE MANAGED SERVICES.

Offload the need to manage security systems from the end user and thus creating new recurring revenue opportunities for their own integration business. This allows the integrator to shift from the classic “construction” services model of implementation to a more sustainable business model of managed services.



3

SPECIALIZATION.

One way to adapt to change and retain value is to specialize deeply in a strategic area – be that a vertical market, a technological alignment (e.g., identity services), or to even specialize and align deeply with a specific solution provider’s offerings. “We find the most successful channel partners know their area of expertise, and we can partner deeply with them on specific solutions to suit those needs,” explains Megatrend Advisor Devin Love, vice president of core platforms at Allegion. “The more specialized we become, the more value we can provide our clients,” said Yunag.



4

AGGREGATION OF INSIGHTS.

As end users adopt more and more technologies, they struggle to get insights from these systems without having to access multiple system front ends. A business opportunity for the systems integrator is to embrace “platform aggregation” (#6 in the 2025 Security Megatrends) and find ways to create more effective security and operational insights for their clients.



5

DEVELOP INTO A “MASTER SYSTEMS INTEGRATOR” ROLE.

Take the lead in design, specification and management of all subsystems of a building and trained to effectively implement and configure advanced AI systems.

AI: INTELLIGENT AUTOMATION OF SECURITY



MEGATREND MOVEMENT

After sweeping the top four Megatrends in the 2024 report, AI riskied being overhyped. It was reassimilated to a single ranking, only edged out of the top position by the massive upheaval being felt by security integrators and other aspects of the channel.

Artificial intelligence, in spite of the risk of being overhyped by marketers, remains among the top drivers of the security industry's future.

The consistent feedback from our Security Megatrends focus groups and in our survey completed by industry executives indicates that the greatest desires of AI for our industry are:

- Create more efficiency in security operations
- Create actionable insights from the proliferation of sensor data and other data that is fed to security
- Be able to automate previously onerous security processes

Thus, in the coming years we believe that a more cautious optimism for AI in the security industry won't be the application of general intelligence that replaces a human, but will be in its ability to intelligently automate repetitive business and security processes, allowing humans to do more in less time and with the right insights at their fingertips.

As Axis Communications' Fredrik Nilsson noted at the 2024 SNG conference, approximately 80% of the spend on security today is in manual labor, while in most other high-tech industries the labor costs are around 50%. "AI is the holy grail to capture that value with technology instead of manual labor," espoused Nilsson.

"AI brings us to the next level. Not only do I see the door is open, but I also see if someone came in when they shouldn't have, so we get more value out of that. Instead of making the PACS system the centerpiece to our stack, perhaps we should review and see if AI should be the centerpiece to our stack."

– PHIL JANG, CONVERGED SECURITY LEADER, TIKTOK USDS

Generative AI—as put into the spotlight by OpenAI/ChatGPT—will not only be applied to basic business tasks but also help deliver training for security teams and identify possible data-backed risks and trends that are today being ignored unintentionally due to the mountains of alerts, notifications and surveillance captured.

APPLYING AI TO CUSTOMERS' DATA

Drawing from our 2024 Security Megatrends report, "The Security of AI" (ranked first in 2024) and the "Regulation of AI" (ranked fourth in 2024) both retain their importance. But as customer data, or metadata, moves to cloud environments, solution developers can leverage that data to refine their engines, thus making future solutions more accurate and less expensive. As Eagle Eye Networks' Tim Solomon challenged the industry at SNG 2024, however, solution providers must ensure they have customer permission to leverage this data in this manner, and they must do so in a way that puts data privacy at the forefront.

IMPACT ON MONITORING

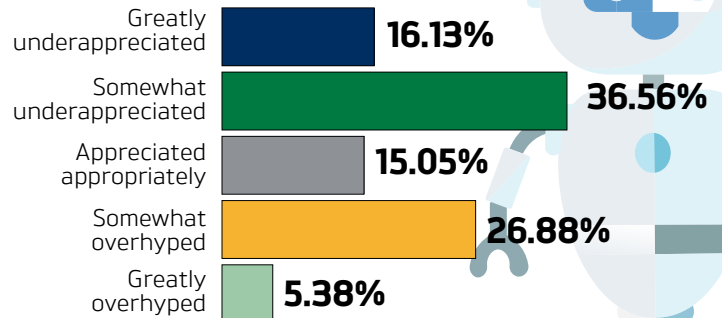
AI has the opportunity to significantly reduce false alarms, which is necessary for our industry because no matter how fast technology advances, if we don't ease the burden on first responders or security team members, the alerts from our technologies will outpace their ability to respond.

"Security monitoring seems the most vulnerable to technological changes. Low-level alarm response can soon be accomplished solely by AI-based operators and automated response capabilities, which will change the business models of monitoring providers, decrease headcount, etc. The monitoring industry seems on the brink of a massive shift."

– Paul Rothman, editor, Security Business magazine

AI IN SECURITY: OVERHYPED?

The future impact of AI on our industry is:



HOW SATISFIED ARE END USERS, CONSULTANTS AND INTEGRATORS WITH THE AI-ENABLED SOLUTIONS CURRENTLY BEING OFFERED TO THEM?



25.8%

Satisfied
or very
satisfied



51.6%

Neutral: Neither
satisfied nor
dissatisfied



22.8%

Dissatisfied
or very
dissatisfied

Source: SIA Security Megatrends Survey, Fall 2024

HOT TAKE

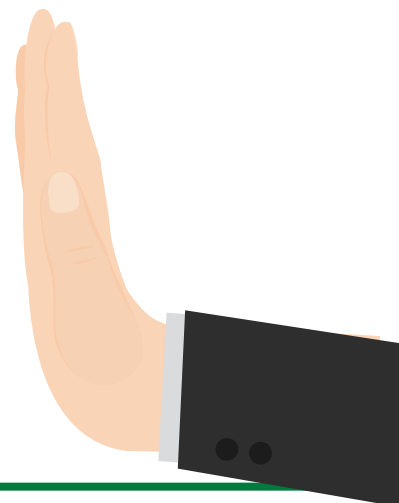


"I object to the term 'artificial intelligence' because it's anything but. AI stands for 'absolute ignorance,' and the problem with using that term [AI] is we tend to anthropomorphize it. The things that humans do well – computers struggle with them. I like IA instead—'intelligent automation'—where you put a human in the loop to provide the judgment and creativity and let the computer do the heavy lifting. Tech can do a good job selecting candidates for the guard industry, but it also overlooks good candidates. There are losses of information, and the current technology we have can't go beyond a line of knowledge. Humans can, but the tech we have today cannot. AI isn't a description of the tech – it's a description of the people using it. It makes people artificially more intelligent. If we rely on their decision making and the computer presents them with an option they don't understand and they say 'yes,' it could be they're signing on to something that's contrary to what they wanted but they don't know it. It's a statistical inference engine, and 'There's lies, there's damn lies and there's statistic inference engines.'"

– Pierre Racz, CEO, Genetec, speaking at SNG 2024

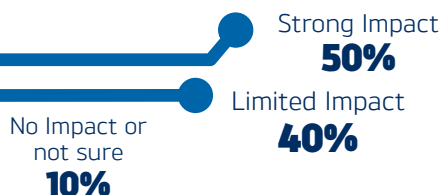
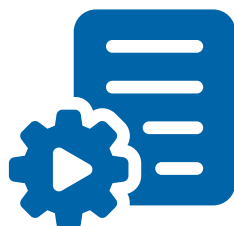
TOP FACTORS LIMITING AI IN SECURITY

When survey respondents were asked about the top factors that might be limiting adoption of AI, they reported **public perception** (37.8%), **hiring of developers with AI skills** (35.4%) and **internal governance on AI** (26.8%) as their leading concerns.



DIVIDED PERSPECTIVE: GENERATIVE AI'S IMPACT

How much impact do you expect generative AI and large language models to have on your business, your security operations and/or your product strategy within the next five years?



81%

Percentage of security industry manufacturers and solution providers who say predictive data analytics are a meaningful or very meaningful component of their existing or soon-to-be-release products, software or solutions

Source: SIA Security Megatrends Survey, Fall 2024

IMPACT ON THE PRACTITIONER

AI continues to hold great promise for the practitioner, and the most forward-thinking practitioners will adopt AI to improve their efficiency and unlock insights from the suites of IoT physical security systems they manage. They will use AI in ways that allow them to free their focus from rote tasks like clearing irrelevant notifications and spend more time doing deep work on real security risks.

IMPACT ON SECURITY STAFFING

Guards in more administrative roles will not be as needed, reducing the demand for "general duty" services and increasing demand for more specialized services. Concurrently, AI is poised to advance the effectiveness of remote guarding, alerting human teams of situational anomalies to focus their trained eyes.

Continued development and implementation of drone and robotic technology could eliminate human resources in the guard industry or allow these personnel to be retasked.

But for the near future, there exists a clear lack of comfort in turning over decision making to AI without a human in the loop to validate those decisions.



91%

Share of security solutions developers who characterized their firm's research and development investments as being fully, heavily or somewhat focused on AI—an increase from the 74% reported in 2023.

Source: SIA Security Megatrends Survey, Fall 2024

CORRECTING THE SYSTEMIC UNDERVALUATION OF SECURITY



MEGATREND MOVEMENT

In the 2024 Security Megatrends, “Expansion and Evolution of Security’s ROI” was ranked No. 3. This new megatrend presupposes that security does show ROI, and given the real value security provides (including nontraditional value) the cost for security is systemically undervalued.

This Security Megatrend starts with the single belief that a business’ workforce and workplace must be safe before it can be productive. There is a “duty of care” that an organization owes its employees. As the law firm Thompson Solicitors writes in its summary of this topic: “Employers have a duty of care to their employees. It is a legal requirement for employers to take reasonable steps to keep their employees as safe as possible at work. Appropriate and reasonable health and safety measures should be put in place to prevent employees from becoming ill or injured.”

While there is no legal requirement that a firm must make money or that it must have the best-performing business tools, there truly is an expectation to keep employees safe, so why then is security always looked upon as a place to apply cost savings and generally a cost to minimize?

Today’s security teams and security systems don’t just provide the duty of care for employees – the technology systems can actually be used to provide business insights like office occupancy, retail queue delays, video confirmation of vendor services and deliveries, remote verification of operations and more.

With these additional use cases, modern software platforms are getting closer and closer to the center of the enterprise in terms of operational outcomes – and thus can be seen by the end user as more like enterprise software that underpins the business.

Yet when comparing the typical expense profile of our industry’s systems to what is thought of as traditional business enterprise-wide systems and monthly cost centers like employee communications (e.g., Teams or Zoom), employee project management (e.g., Slack), customer relationship management (CRM) platforms, video conferencing or employee cellular communications, it is clear that our cost to the business is dramatically less than that of systems that show comparative value.

“We have to sell our value and create value – and the cost of not doing so is catastrophic!”

–TARA DUNNING, VICE PRESIDENT OF GLOBAL SECURITY & INFRASTRUCTURE, WESCO

THE MINDSET SHIFT



"When I go outside the industry and I talk to end users, they think it [security] is cheap. So why do we think it's expensive? And how much does our belief that it's expensive limit our ability to sell it to somebody else? Having a belief in a thing yourself is the first requirement to create belief in somebody else. And if our salespeople believe that this is too expensive, then they're never going to tell a customer that it's a thing that they should have."

– Steve Van Till, CEO, Brivo, during SNG 2024's Megatrends session

CONNECTION TO OTHER MEGATRENDS

Changing the value proposition of security is closely linked to other Megatrends in this report, chiefly the "Visual Intelligence, Not Video Surveillance," "IT-OT-Security Convergence" and "Democratization of Identity and Mobile Credentials." These other three megatrends emphasize how security will migrate to a position of higher value through building and business efficiency. Allegion's Devin Love captures it this way: "Multifamily is a great example of this migration, using a simple example that everyone can understand: When you replace a resident's metal key with a mobile credential, you reduce the headcount required to manage buildings and increase NOI."

IMPACT TO THE PRACTITIONER

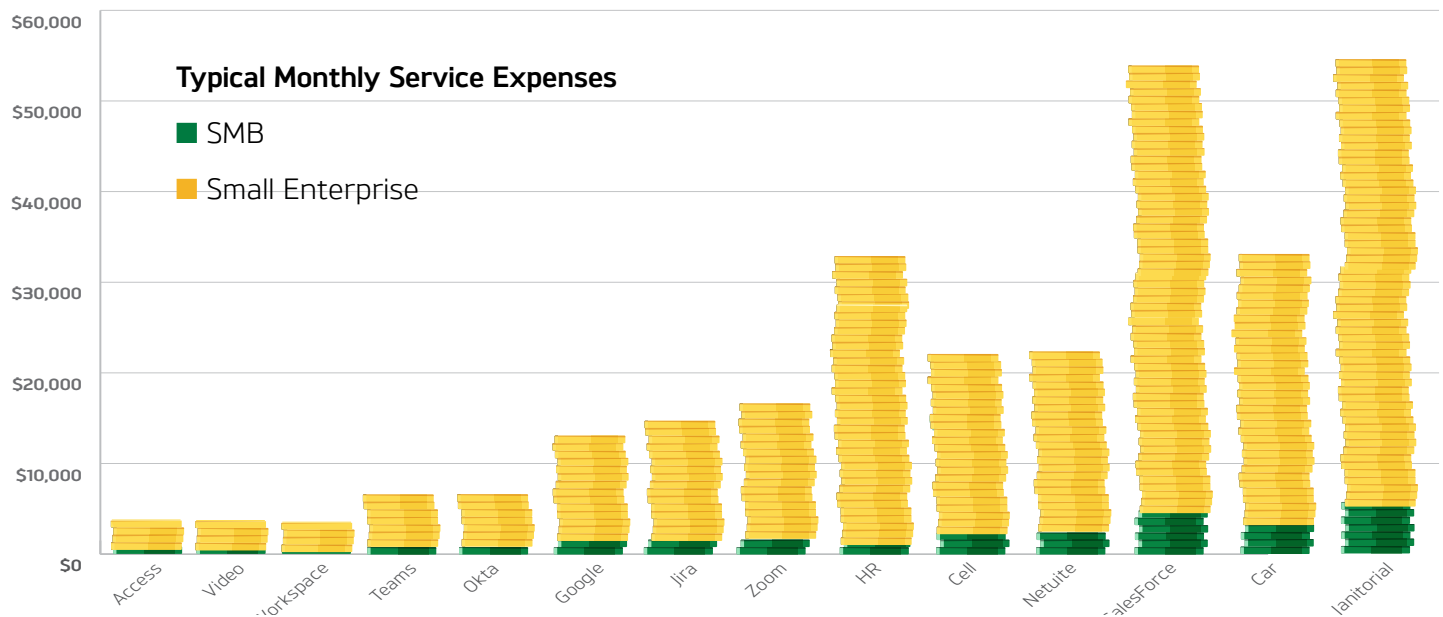
The security industry integrators, manufacturers and solution providers and other businesses operating in security are not the only entities systemically undervalued. We believe the value provided by end user corporate security teams is underappreciated; however, the value proposition will not change without security leaders making changes themselves. Security leaders will need to identify and prove their ROI. They will ask: What operational insights can be unlocked from the data in their video systems? And how do my team and technology stack contribute to the bottom line of the organization or make us more productive?

As Zoom Global Chief Security Officer (CSO) Nathan Mills stated at SNG 2024, "Security data can be used across the enterprise for so many business purposes," including occupancy for real estate optimization (the No. 9 Security Megatrend of 2024) or for providing data that can be used help control other facility costs like janitorial expense (notably, the highest monthly expense for enterprise businesses)."

So, if you're going to make the case for security to be a greater expenditure, you have to tie that back to data that shows additional value, said Eli Bloomstein, director, technical security programs at Palo Alto Networks. "Physical security budgets are always hard to get," said Bloomstein. "If you're going to sell me a product, it needs to have value—reducing cost, streamlining workflow, etc., and that's what I sell/present to leadership. Notifications around duty of care will always have more impact."

COMPARING COSTS

This chart demonstrates the dramatic difference in how classic security solutions like access control and video surveillance compare to other common business expenses.



VISUAL INTELLIGENCE, NOT VIDEO SURVEILLANCE



MEGATREND MOVEMENT

Ranked second in our 2024 Megatrends report, this trend dropped two ranking spots in 2025 but remains one of the most important trends based on survey data and will undoubtedly remain a long-term trend guiding the security industry.

Of the estimated over 90 million cameras installed globally, very few use AI, but that is changing. If you further divide those 90 million cameras, a low percentage are using standard analytics (be that in the camera or the video management system (VMS)) and even fewer are using what you might call “real AI.” Simply put, most existing security cameras are still functioning as simple scene recording devices and are not yet providing the “visual intelligence” that this trend conveys.

But all of that is about to change. Practitioners today are looking at their video surveillance investments as tools to provide visual oversights of their operations, and that makes this trend inherently connected to 2025 Megatrend No. 3, the undervaluation of security. After all, if your security cameras are no longer “video surveillance” but provide “visual intelligence,” those systems are worth more to the business.

Of course, providing these additional values requires AI or at least “analytics,” and this creates a huge opportunity for video product makers, VMS vendors and systems integrators

“There’s more opportunity for cameras to become a source of data for our organizations than there ever has been. This allows us to put more infrastructure in, do a better job securing our environment, but also deliver other use cases—energy efficiency and savings, maintenance savings, space optimization, productivity and user experience—in addition to security, safety and compliance.”

– ERIC YUNAG, EVP, PRODUCTS AND SERVICES, CONVERGINT

“Because of the power of technology, we’re able to drive business value in other areas. Customers do integrations through our APIs and use the cameras through new ways they hadn’t thought of before.”

– FILIP KALISZAN, CEO, VERKADA

who can deliver these new AI-enabled systems, given the currently installed base of “dumb” cameras and recorders.

Even within security applications, the camera is positioned to do more than ever before. Many believe that with motion detection being commonplace in modern cameras, and with edge-based AI on these cameras that can distinguish between humans and other objects, classic alarm intrusion detection sensors may eventually be largely replaced by cameras.

SO MANY CAMERAS, SO MUCH POTENTIAL FOR INTELLIGENCE

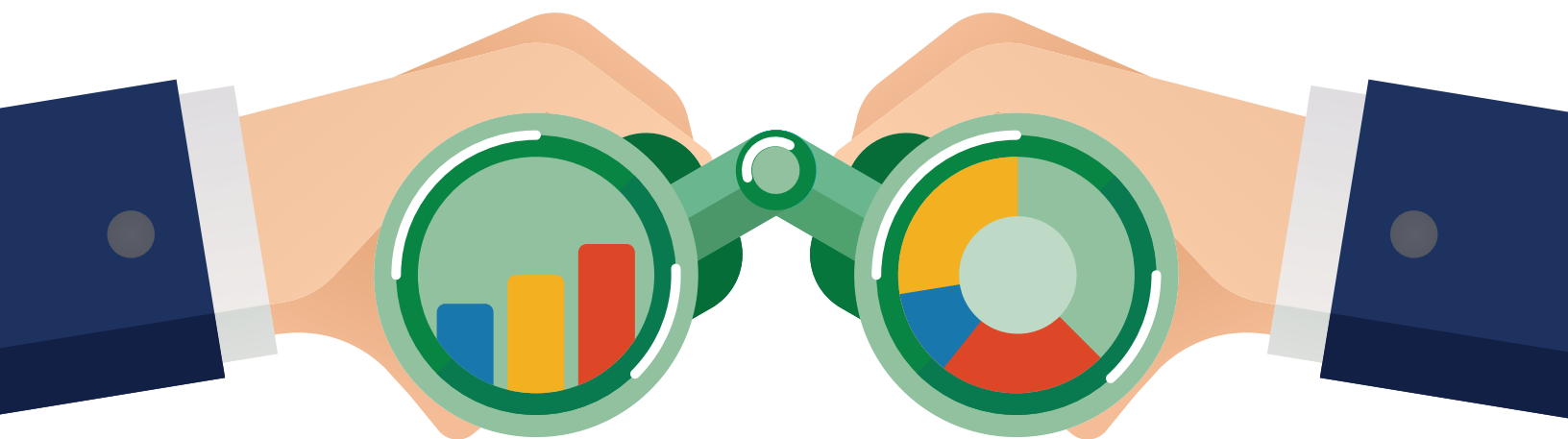
In an exclusive report for SIA members, the market research firm Omdia estimated that there were approximately 84.5 million security cameras installed in the United States as of the year 2021. In a 2022 report, research firm IDC estimated there to be over 1.5 billion video surveillance cameras in use across the world.

While the number of installed cameras is notoriously difficult to estimate, a general consensus is that the average lifetime of a camera is approximately 10 years, creating an opportunity to install at least 150 million new cameras per year – and that’s just to replace existing cameras at the end of their life cycles, not even counting video sector growth!

THE DO-EVERYTHING SENSOR

As we wrote last year, the camera is becoming the “everything tool” in our industry—it’s not only a tool to be used for monitoring business operations and workplace conditions, but also becoming a platform for connecting and hosting other sensors (e.g., audio, chemical, temperature) to provide additional intelligence. What can the camera do? Paired with intelligence and connected to other platforms, it’s common for cameras to be involved in operations that include:

- Visitor management
- Vehicle recognition and identification
- Parking management
- Traffic monitoring
- Crowd detection
- Occupancy measurements
- Delivery detection
- Object removal detection
- Detection of scene changes
- Visual detection on smoke and fire
- Fall and slip detection
- Heat mapping
- Inspection of materials
- Industrial process inspection



KEY PREDICTIONS

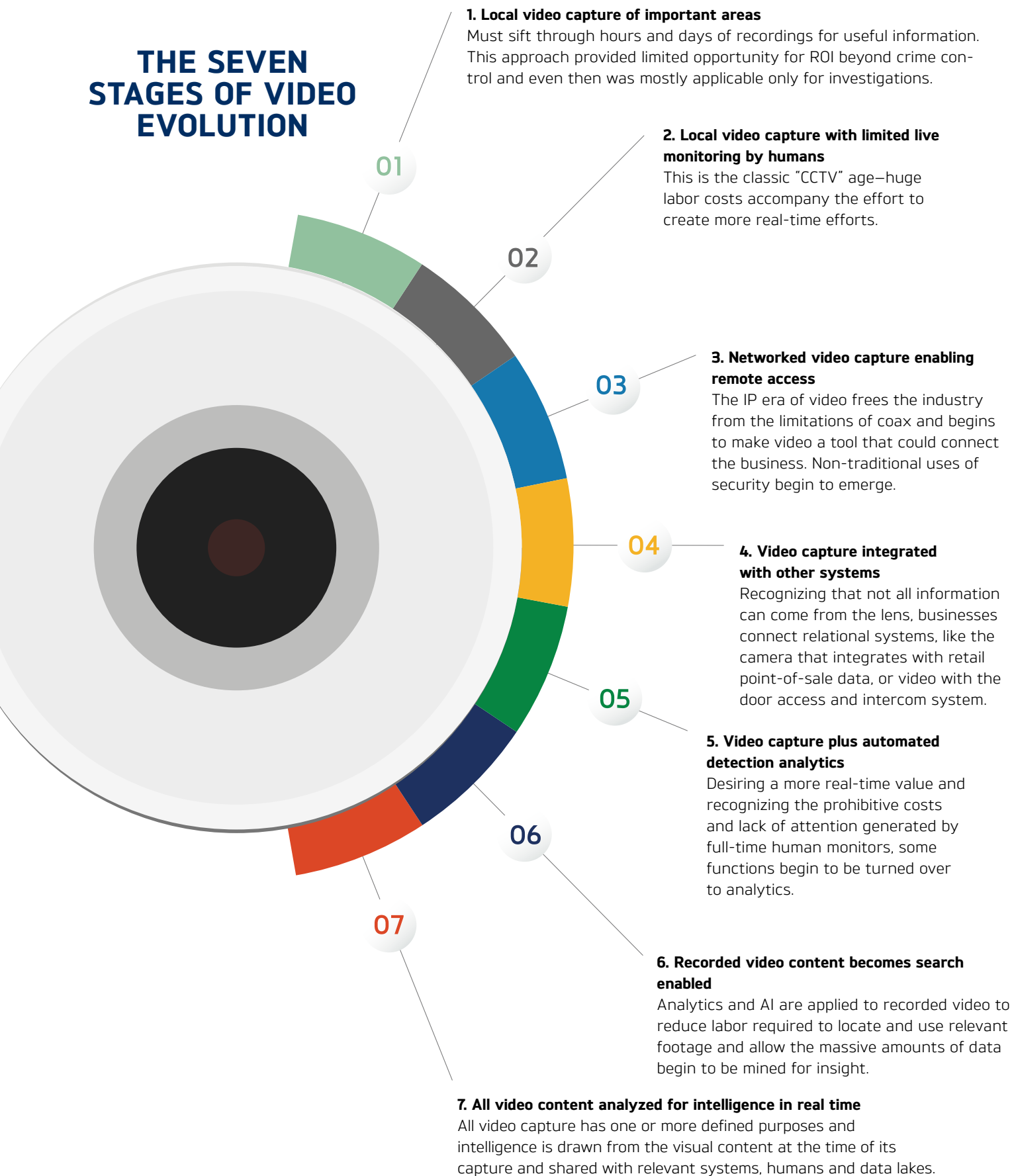
AI will transform existing systems, allowing for **deep search of recorded content**.

For future systems, **all video will be analyzed in real time**, not just stored.

Video technology **operational ownership will not be exclusive** to the security team.

Justification for investments in camera technology will be easier

THE SEVEN STAGES OF VIDEO EVOLUTION



IT-OT-SECURITY CONVERGENCE



MEGATREND MOVEMENT

Ranked 10th in our 2024 report, this convergence topic jumped dramatically for 2025 and was consistently noted as a “most relevant” trend in 2025.

Take a modern business, where you have facility-level systems supporting voice, data, video, amenities, elevators, facility assets, parking, fire and life safety, lighting, HVAC/climate control, audio-visual, access control and more. Add in process controls, production/manufacturing systems, facility health conditions, fleet management and more, then tie in your common technology systems like point-of-sale data, inventory levels, distribution and shipping management, sales and order management, supply chain, warehouse management, CRMs, finance/accounting, project management and communications tools like email and messaging. Don't forget to blend in cybersecurity platforms and support for local and centralized IT assets, plus the systems and assets of business systems which are remotely provided by third parties, particularly those provided in cloud environments.

“As digital capabilities become more strategic, and complex workarounds become less and less feasible, more companies are getting serious about breaking down these silos and converging the IT/OT operating model. Doing so promises to accelerate in-flight use cases, democratize access to data and technology across the value chain, launch new use cases that utilize cloud-native capabilities, and improve frontline decision making by using data from both IT and OT systems.”

– MCKINSEY & COMPANY, 2022

Every system was built for its own purpose, performs well on its own tasks and traditionally was operated largely in its own silo (or integrated, at most, within its own class of systems), but as we identified in Megatrend No. 4 (“Video Intelligence, Not Video Surveillance”), systems are able to capture data and provide intelligence outside of their own silos, and businesses are recognizing the value of unlocking that otherwise proprietary information for new purposes by connecting what might have once been disparate solutions.

This of course leads to ultimate convergence of these systems: operational systems, information technology systems and, yes, physical security systems.

Depending on your viewpoint within the business, physical security systems sometimes exist as part of IT, and yet more often, physical security systems are considered part of operational technology (OT). Either way, the converged physical security and cybersecurity of OT is paramount, as OT systems are mission critical to the operational resilience of a business.

IMPACT TO THE PRACTITIONER

Convergence is not without its hurdles: The technical hurdles of connecting proprietary systems are one pain point (in many cases, the technical tools are not available or prepared to support the complex nature of such different systems), but the cultural assimilation is another challenge, given not only the technical silos, but also the organizational leadership silos that would classically separate an IT manager from a production manager and separate both from a security leader.

RESOURCES

Navigating IT-OT-security convergence is not without its perils. Arm yourself with insights from the following resources:

National Institute of Standards and Technology Special Publication SP 800-82r3, “Guide to Operational Technology (OT) Security,” provides an excellent review of risk management and cybersecurity strategies for OT systems.



SIA’s “Security Convergence 2024” report provides best practices for converging security across multiple domains, chiefly physical and information security/cybersecurity, but also yields perspective on IT-OT convergence.



SIA’s forthcoming “Physical-Operational Security Convergence” report will share insights into navigating the convergence of IT-OT and physical security technology systems and is due for release in Q1 of 2025.

PLATFORM AGGREGATION



MEGATREND MOVEMENT

Platform aggregation was a new trend concept introduced by the 2025 Megatrend advisors and received a strong response from survey respondents following its presentation at SNG 2024 by Megatrends Advisor Tara Dunning. This new Megatrend connects back to “Proliferation of Sensors” (a 2023 Megatrend), as the explosion of security data from those sensors and the explosion in the number of software platforms used today by security and facilities has created challenges in understanding security and facility trends.

The ability to create new solutions, devices and systems is inspiring, and today there seems to be a system for everything. Operational, facility and security leaders have data coming in from everywhere, and if they are ahead of the curve, they have followed the playbook outlined in Megatrend No. 5, “IT-OT-Security Convergence.”

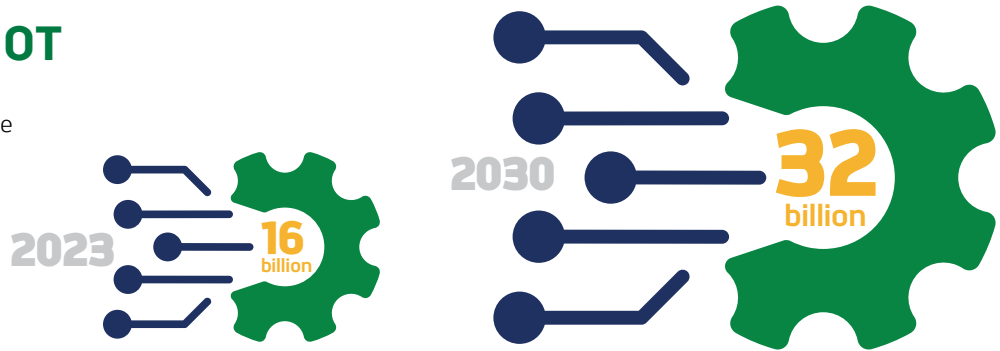
But today, even if they have started down that convergence path, the most likely result is direct integration between systems and not a holistic integration of all systems. And even if the number of systems integrated is substantial, the integration of systems is not convergence and is just one step along that path. Moreover, these systems weren’t all purchased from the same vendors, weren’t guaranteed to be interoperable and certainly weren’t purchased at the same time with a clear strategy for linking the data, so users will find functional limits to the number of system-to-system integrations that can be done.

The answer for many is platform aggregation, an emerging trend likely to shape our industry’s future, particularly for high-demand, complex end users.

Some may call the end result a “single pane of glass,” but the real metaphor may be something more like a hologram, such that all leaders are looking at the same picture but are receiving different visions of multidimensional data, tailored upon their perspectives and needs.

EXPLOSION OF IOT

Estimated number of IoT devices connected on networks worldwide



IMPACT TO THE PRACTITIONER

It's a common refrain at security conferences: The senior security practitioner tells the audience: "I don't need more devices and systems. I need more insights—and less noise—from the systems I already have." For security practitioners seeking to solve that challenge through platform aggregation, there are three important questions:

- What are the sources of truth where I need visibility?
- How do I help my team bring all this data together and aggregate it in a usable fashion to improve our level of operational intelligence and situational awareness?
- How does the connection of these systems allow us to better understand our security posture and risk and also deliver an improved customer experience and operational efficiencies?

PERSPECTIVES

"Everyone's coming in with one AI solution for one problem. We have to think about changing the way we think about what AI should be in the future. What we're seeing is one person can ID when cows fall down in a pasture, and one person can identify dental equipment being used and streamline billing. But practitioners don't want the one-off. They want the ability to drive their own AI. You can't tell them, 'This is the way we do it.' AI is driving the conversation because people see the potential of what it could do. We have to drive an open platform and look at AI as an open platform, develop an ecosystem so all these solutions can run on some type of unified platform."

—TOM COOK, EVP OF SALES AND OPERATIONS, HANWHA VISION

"The advantage of platform aggregation is that it allows end users to utilize best-of-breed applications that may not operate together effectively. It's the best of both worlds – you get a single, holistic viewpoint or dashboard of your operations without having to sacrifice high-quality platforms or technologies. The impact that this trend will have simply cannot be overstated. Security professionals and building managers are juggling more platforms than ever before that impact safety, security, energy efficiency, operating costs and more. Platform aggregation provides these professionals with powerful insights at their fingertips, allowing them to make more informed decisions to help better manage their operations."

—TARA DUNNING, VICE PRESIDENT OF GLOBAL SECURITY & INFRASTRUCTURE, WESCO

"When we talk about integration of platforms in the past, what that meant was they were all on the same dashboard/screen, so it was more about user interface, not experience (a two-dimensional view). The discussion is shifting now to using a single AI type layer to interpret results from many different subsystems. That's not a visual metaphor – it's a linguistic metaphor. The visual representation will become less important."

— STEVE VAN TILL, FOUNDER AND CEO, BRIVO

DEMOCRATIZATION OF IDENTITY AND MOBILE CREDENTIALS



MEGATREND MOVEMENT

Recognized as an emerging microtrend in our 2024 report (“Elimination or Reduction of Physical Credentials”), this trend has grown by leaps and bounds in the past 12 months, earning it a definitive spot in the Megatrends and aligning with the past year’s Megatrend of “Impact of the Megatech Companies” (trend No. 7 in 2024).

The badge office—ostensibly positioned as the purveyor and provider of identity cards—is ripe for disruption. The oversimplification of what most badge offices do is transform physical keys into plastic keys that can be assigned to an individual. Certainly, there is great convenience with the card or fob. Unlike the metal keys they replaced, the card could be disabled if lost or stolen, and in the lanyard-worn form factor, it could combine visual verification with door access. But there are obvious security weaknesses that are retained. The key card can easily be handed off to another user, much like a physical key, or worse yet, some cards could be cloned surreptitiously.

The future direction is to move into one of two form factors:

- Biometric-based identity
- Mobile credentials that leverage phones and wearables to deliver the credential or identity authentication

“The history of identity has largely been driven by the physical space, through the state bureau (DMV) that produces a document that’s not secure [and which] doesn’t allow transactions to happen in a risk-free posture. More and more, those things [secure transactions] are expected to occur on our phones. The real promise of this is being able to know who’s on the other side of the computer screen – to drive down fraud and abuse.”

– DONNIE SCOTT, CEO, IDEMIA, AT SNG 2024

PERSPECTIVE

“IAM (identity and access management) stands at a critical juncture where technology, business model evolution and consumer demands converge. Companies that innovate with secure, decentralized and user-centric identity solutions will likely lead in the future of IAM, meeting the demands of both security and user convenience. As a result, this area is poised for significant transformation, potentially challenging traditional IAM providers while creating new opportunities for agile, tech-forward entrants.”

– ANONYMOUS MEGATRENDS SURVEY RESPONDENT

Both form factors advance what we refer to as the democratization of identity, particularly in terms of who can provide identities. With biometrics, the user is inherently the owner and provider of their own identity, and with mobile credentials, the democratization is in the ability for users to carry multiple identity credentials in a single device.

Currently, the cost per user on both models of delivery is decreasing as scale builds, and this sector of the industry is rapidly exploring and developing industry standards (e.g., PKOC, Aliro) or adopting de facto standards (Apple Wallet, Google Wallet) that will likely create consistency and drive adoption of mobile credentials.

UNDERSTANDING THE COST OF MOBILE CREDENTIALS

Allegion President of the Americas Dave Ilardi explains the costs behind mobile credentials: “Everyone wants to make sure they have a piece of the value created in the process of delivering the mobile credential. We all have been embedding the technology [to do mobile reading], so when the mobile credential comes around, we want to make back that investment. This is where some of the disruption comes into play. Phone providers want a piece of it as well to provide access to the wallet. That cost right now is higher than what we’re getting value for on an individual basis.”

But even with today’s costs (which also include the cost of middleware service providers that can connect physical access systems to the wallet), Martin Huddart, senior VP and head of physical access control solutions for HID, thinks the costs are already more in line with the badge office model, or perhaps even less.

“What we see is that often end users do not appreciate the total cost of physical credentials

(ordering, storing, issuing, etc.),” said Huddart. “What mobile does is automate a lot of those physical and analog processes. We figure the payback period for upfront infrastructure work has been coming down and down as those processes become more efficient. End users need to have an honest review of what their total cost of physical credentials is.”

WHERE WILL THE CREDENTIAL LIVE?

Today, most mobile credentials still operate with the identity credential housed within a single phone app. Want to access the parking garage or the office park’s amenities via mobile credentials? You’ll need the app specific to that landlord’s systems. Heading to the gym? You’re using the identity credential housed in the gym’s app. Want to access your firm’s office space on the seventh floor? You’ll now be using a different identity credential stored within your employer’s access control app. Using your phone to authenticate to an IT asset? Fire up another app and identity.

The other option is to store those credentials in a mobile wallet and have the various systems connect to those keys in your Apple or Google wallet. The latter choice may provide a better user experience, but from an implementation standpoint, the delivery is more complicated than keeping your credential in a proprietary app.

Another option could be linking your preferred digital identity to the various systems, so that you operate from a single digital identity (owned by the user) that federates its access to various systems, like your home, office or hotel – it was a feature that came to Apple in mid-2021, and digital ID came Google Wallet in fall 2024.

Already some U.S. jurisdictions are accepting phone-based mobile driver’s licenses, with high-population states like New York and California leading the change.



HOT TAKE



The SIA Mobile Credentials event at ISC East 2024 highlighted a crucial distinction in our industry: the difference between proliferation and democratization. While these terms are often used interchangeably, they represent fundamentally different trajectories for identity management.

"What we're witnessing today is proliferation—a widespread increase in identity-based systems and their adoption. However, what our industry desperately needs is democratization—the process of making identity accessible and equitable to a broader audience by reducing costs, complexity and exclusivity. The current landscape remains expensive, complex and restricted to those who are either integrated into existing ecosystems or, in Big Tech's case, granted permission to participate.

We're experiencing a fascinating return to our roots in identity management and access control.

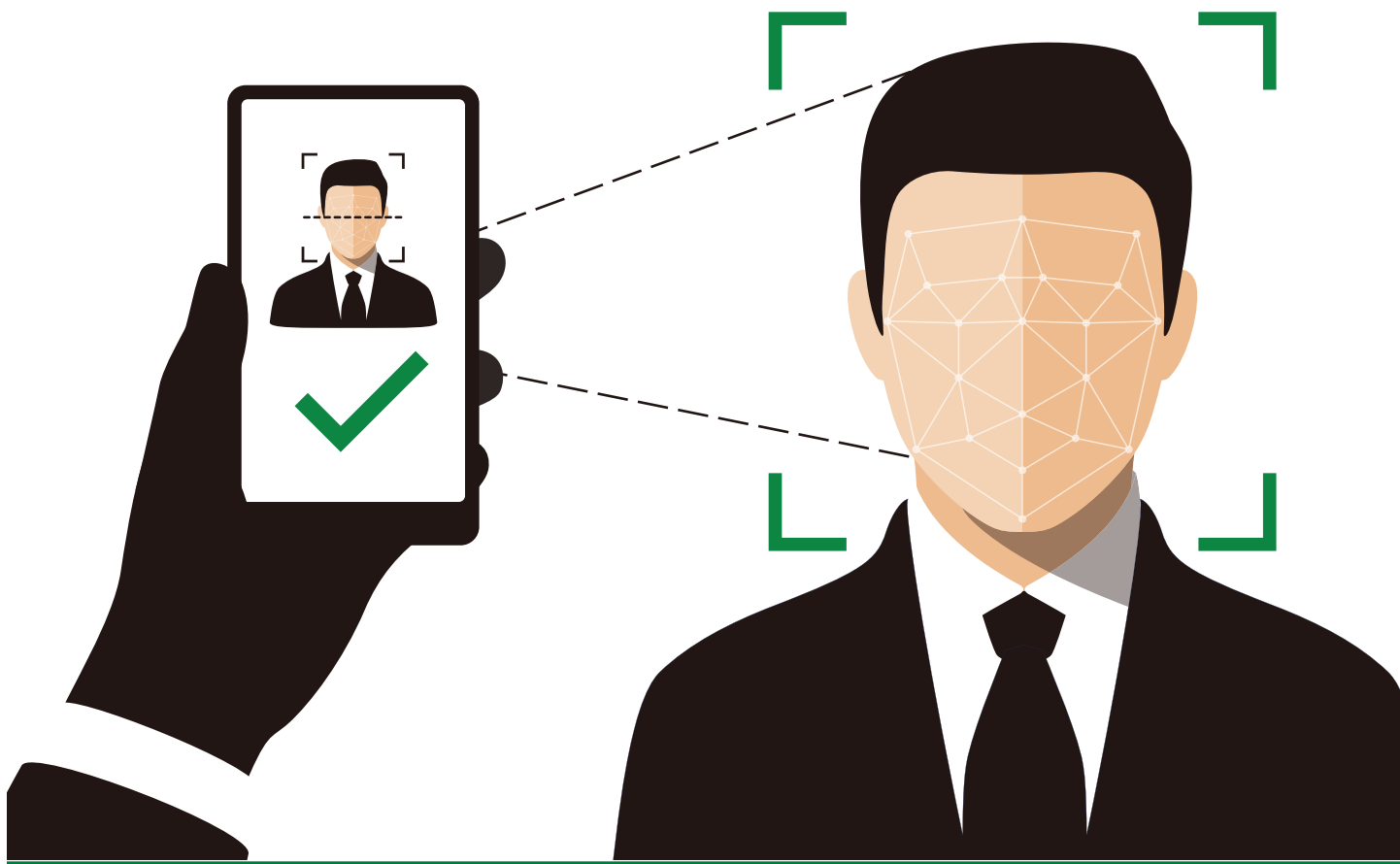
While mobile credentials may seem revolutionary, they're not entirely new. From 1973 to 1983, the industry utilized the TRW System, which featured a built-in call to a centralized identity check system focused on the person. Then, from 1983 onwards, our focus shifted primarily to the door when TRW spun the system out and Basix was born. Now, we're essentially coming full circle, returning to person-centric solutions with modern technology.

The most significant shift is in not the technology itself but how identity and our preferred modalities have evolved. While mobile wallets have proven transformative—revolutionizing credential storage and elevating access control to mainstream levels and our industry's first 'luxury good'—the real winner may be an unexpected bystander: biometrics. As identity-based systems continue their rise across sectors, biometric authentication is quietly positioning itself nicely. Few would have predicted when this journey began that the best marketing for a group that can't seem to break through, would be wallets and near field communication.

That said, the true winner in all of this digital transformation is the customer because they now have the choice of modality, experience and level of assurance desired.

But again the true question with all this change is: Can we bridge the gap between proliferation and true democratization, making secure identity solutions accessible to all while maintaining the momentum we've achieved?"

– LEE ODESS, CEO, ACCESS CONTROL EXECUTIVE BRIEF



GROWTH OF ADVANCED DETECTION TECHNOLOGIES



MEGATREND MOVEMENT

Proposed to the SIA membership, this Megatrend struck a chord and was ranked first among the new concept trends in the survey for this 2025 report.

The technology of alarm and detection technologies sat largely undisturbed for many years, delivering motion detection, vibration sensing, glass break detection, metal detection and other solid, dependable technologies. Post-9/11, the needs of the aviation and global shipping sectors spurred a movement to develop chemical, biological, radiological, nuclear and explosives detection, which was a substantial milestone but generally was limited in applicability to the general commercial security sector simply due to cost and often the size and limited throughput of such systems.

Today, however, detection systems are having a resurgence, with numerous specialized technology developers focused on solving for very specific threats and scenarios.

SENSING ADVANCEMENT

More than any other areas, the following four areas have seen the most change in applying advanced detection capabilities to the commercial security marketplace.

Weapons and Gunshot Detection

Classic metal detector-based threat screening processes are being overshadowed by emerging high-throughput detection systems that couple detection of dense objects with AI and video-based tracking of subjects so that persons carrying potential threat devices (weapons, typically) can be reached before they proceed deep into a facility like a stadium or entertainment venue.

Weapons detection is being offered inside facilities and venues, with solution providers using AI-style analytics to identify and alert upon weapons visible in a scene. As they push the algorithms, they are able to solve for more challenging scenarios, like a gun held at an odd angle or a partially visible weapon, and adaptive to the many form factors guns can take.



Staying on the theme of weapons-based threats, gunshot detection and location is advancing by leaps and bounds. Certainly, better acoustic detection has helped separate gunfire from similar sounds, but the systems now are better at geolocation in both outdoor and indoor environments and are often able to integrate with video for locating the shooter. Some systems are even adding additional sensors to perform dual verification of a gunshot by attempting to recognize muzzle flashes.

Perimeter Security

When forward-looking infrared cameras hit the commercial market sector, they made an impression. This thermal imaging technology was able to break free of the limits of traditional visual light and local illumination to detect persons and objects in darkness and challenging weather conditions. That was a 1960s technology innovation that really began to be commercialized in the defense sector in the 1970s, although it stayed largely unaffordable to the traditional commercial security sector until the 2000s, when it began to change the perimeter security market of that era.

Today, perimeter detection technologies are making a dramatic advancement again, with new technologies like LiDAR and high-definition radar being applied for perimeter security

boundaries, particularly at critical infrastructure sites. These systems aren't simple detectors: Most new-generation systems are able to classify the objects they detect (vehicle? person? animal? drone?) and offer enough accuracy to be coupled with video imaging tools, and the functional range of these technologies has continued to improve, pushing the detectable perimeter further away and allowing security teams more time to respond.

Health/Environmental Sensors

A whole new class of sensors is being offered in the security industry, often with specialized applications. Vape detection is one popular interest area for detection, but other environmental sensors can detect and alert on various conditions like particulates and noxious gases that could have short- or long-term health consequences.

Intelligent Audio Detection Sensors

Dramatic growth is occurring in the world of audio analytics, where manufacturers are applying machine learning to analyze a lot more than gunshots. Research and development teams are isolating noises and applying algorithms to separate between normal sounds and those of distress, aggression or damage (like glass breakage or impact).

IMPACT TO THE PRACTITIONER

More than any other trend in this list, the rapid advancements in detection technologies may be the most exciting to corporate security leaders, owing to the fact that these advancements can be tied directly to efforts to curb crime, keep employees and guests safe and better enable their teams to "deter, detect and defend." While some of these solutions may still require iterative accuracy improvements, these new generations of detection solutions can at least partially solve real-world security and safety challenges that couldn't previously be solved with technology.

HOT TAKE: DISRUPTION IN THREAT SCREENING

For perspective, we share this anonymous miniature essay submitted by a SIA member as part of the 2025 Megatrends survey. This author's perspective analyzes the business opportunity for AI-enabled advanced detection systems applied to weapons screening:

One area of the security industry poised for disruption is 'physical access control and threat screening,' particularly in public spaces like airports, stadiums and corporate campuses. Traditionally, these environments rely on manual security checks, metal detectors, and personnel-intensive protocols, which are both costly and time-consuming for consumers and organizations alike.

The integration of 'AI-driven standoff weapon detection' and 'AR/VR-based enhanced situational awareness' solutions could dramatically transform this space. Standoff detection systems reduce the need for physical checkpoints, allowing security to be both less invasive and more efficient. By remotely identifying and verifying threats through AI, security becomes more proactive, enhancing throughput and allowing for seamless, continuous monitoring without disrupting the flow of people.

On the consumer side, there is a growing preference for contactless and unobtrusive security experiences. The traditional models, often involving long wait times and rigorous inspections, are becoming outdated, especially as expectations for convenience and efficiency rise. AI-driven standoff detection, combined with AR for real-time threat visibility, addresses these preferences by offering high-level security with minimal inconvenience, supporting a better user experience.

This shift represents a potential business model transformation as well. Security companies that traditionally rely on selling physical hardware and staffing services might pivot to subscription-based or as-a-service models, where AI and AR solutions are updated continuously. Such a model would make high-tech security more accessible and scalable, providing consumers and businesses with greater value. Thus, the convergence of technological advancements, consumer demands for convenience, and evolving business models make physical access control and threat screening a prime area for disruption in the security industry."

SHIFT OF INFLUENCE FROM HARDWARE TO SOFTWARE



MEGATREND MOVEMENT

New for 2025, this Megatrend reflects a pattern of emphasis on the value software solutions rather than the edge hardware.

The industry was historically focused nearly exclusively on hardware. At one point in our history, the security practitioner and the business ecosystem of consultants and integrators serving that practitioner, were tasked with hardware selection: the right camera for the scene, the best network video recorder (NVR), the best detector or control panel, the correct lock and door hardware, etc. This was the peak mechanical and electromechanical age of the industry, and software was just the interface you received on that NVR.

Today, hardware devices are no longer the singular focus of the buyer. The end user is more connected than ever with the software platform, as that is the point of their experience.

What changed was that the value of the data from these systems became more important to the security operations than the feature set of the devices themselves. For the practitioner, that data was no longer associated with the device itself but was instead associated with the management software that extracted value from the data those devices could generate. This change means the

software and the software providers hold more and more influence in the industry and will continue to be more influential, as these software systems can identify data anomalies and aggregate data for the “bigger picture” or nontraditional use cases.

BUT EDGE DEVICE POWER IS KEEPING UP

Security device providers are generally following a broad trend of delivering more and more intelligence at the edge, and while edge devices will always be limited in computing power due to their physical formats, the scale of computing now offered at the edge is quite tremendous. In the world of video, for example, advanced analytics that once took servers to run are now running on the cameras’ own chips.

While software systems are simply in a better position to scale computing resources that will turn data into predictions that can make security practitioner more proactive, it’s worth remembering that this Megatrend purely reflects a shift of attention from the practitioner, not a shift in the velocity of technology advancement or even a shift in market size. Regarding the latter: The fates of hardware and software markets are intertwined: More hardware typically means the need for more powerful software, and more powerful software can likewise support more hardware.

IMPACT TO THE PRACTITIONER

As software becomes the centerpiece of security management, expect device and hardware makers to rapidly push technology advances in their own products to ensure that their hardware won’t be treated as “dumb” peripherals that can be commoditized. This effort benefits the practitioner, giving you more and more intelligence at the edge, which ultimately helps enrich the centralized software.

SAAS, HAAS, DAAS AND A MANAGED SERVICES FUTURE


**MEGATREND
MOVEMENT**

implementation of this trend is likely to be through the integrator for this model to scale. It's also inherently tied to 2024's No. 6-ranked Megatrend "SaaS Reshapes the Integration Business Model."

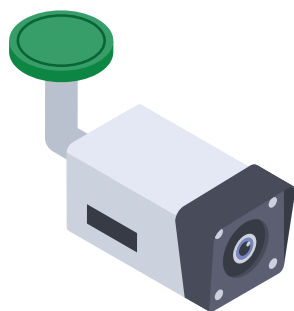
"The first major video surveillance hardware manufacturer to figure out a true Hardware as a Service (HaaS) model will become the new juggernaut." So wrote an anonymous security industry executive when completing SIA's annual Security Megatrends survey, and this anonymous visionary perfectly summarizes the real business opportunity for the security industry—although it may not be limited to manufacturers and is a delivery model that could be implemented by integrators.

It's a model that's already seen early adoption in the business IT services arena, with companies like Dell, Lenovo and Microsoft all now offering PCs through a HaaS model, sometimes also referred to as device-as-a-service (DaaS) or even desktop-as-a-service. The model in the IT sector is expanding beyond desktops and moving into more varied network infrastructure, delivering infrastructure-as-a-service (IaaS).

While the security industry has already begun to strongly adopt a software-as-a-service model, particularly for cloud video and cloud access, the addition of HaaS/DaaS with managed services creates the opportunity to now monetize the hardware, and not just in a low-cost annual license type of approach, but as a true managed services approach, where the full upkeep of the hardware, including patching, cybersecurity, maintenance, technical support and data analytics, is undertaken by the manufacturer or, perhaps more likely, the systems integrator, in exchange for strong recurring revenue.

“Annualized recurring revenue (ARR) is our roadmap. AI components could be the loss leaders for the integrator. We’re focused on device management.”

- MATT TYLER, VP OF STRATEGIC INNOVATION, WACHTER



59%

Increase in multiples that HaaS companies receive from investors when compared to other frontier tech business models

Source: Silicon Valley Bank, "The State of Hardware as a Service, 2024"

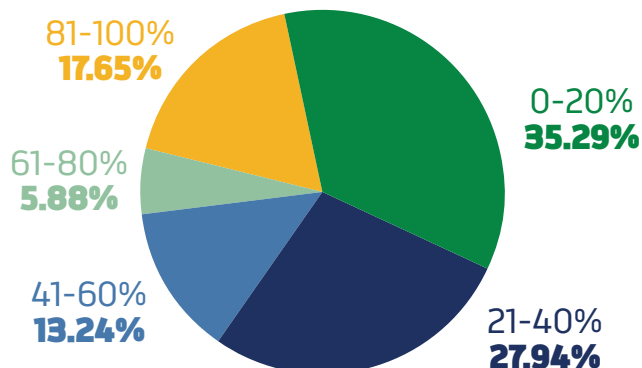
15%

Annual growth rate of HaaS solely in the desktop-as-a-service market

Source: Statista



APPROXIMATELY WHAT PERCENTAGE OF YOUR FIRM'S REVENUES ARE BASED ON RECURRING REVENUE SERVICE MODELS?



BREAKING DOWN THE JARGON: HAAS, SAAS AND MANAGED SERVICES

Confused by the lexicon? The difference between HaaS and managed services is actually fairly straightforward once you get past the buzzwords. In managed services, the software and devices are still owned by the end user, and the end user pays the managed services provider (MSP) for supporting, managing and monitoring the end users' equipment. SaaS is the rental of access to software from a vendor, and HaaS is a model in which the end user rents the hardware/equipment from the provider, thus making the equipment wholly the responsibility of the provider. When combining HaaS, SaaS and managed services, the end user is truly able to turn all aspects of the system over to the vendor(s). It's possible for the business model to be split between manufacturer and inte-

grator, with the manufacturer providing HaaS and/or SaaS and the integrator providing managed services for that hardware and software.

DOES HAAS + SAAS = A MORE CLOSED ECOSYSTEM?

It becomes easier to manage a full SaaS and HaaS business model if you're managing a single, cohesive ecosystem, one that was built to operate as a unit, perhaps all from a single vendor—as opposed to a system built upon various APIs and custom integrations and which is dependent upon maintaining just the right software versions and hardware firmware versions for the system to operate as intended. For the integrator, this could lead to adoption of more "end-to-end" vendor solutions, wherein the integrator is able to build a predictable managed services revenue stream that combines HaaS.

ENORMOUS MARKET OPPORTUNITY?

HaaS is seeing initial adoption by PC makers and in specialized industrial equipment. When you compare the market size, the security industry equipment opportunity for HaaS may seem small, but it's not. According to data from Forrester Research, there were over 2 billion PCs in use globally by 2015, but the long-term trend has been slowing PC/laptop/server sales. Meanwhile, in terms of security devices, there were 1.5 billion security cameras alone installed by 2022, and that's not counting the myriad other security technologies that could be offered in a HaaS model. The total addressable market (TAM) for security HaaS could actually outpace the TAM for PC HaaS.

IMPACT TO THE PRACTITIONER

For the practitioner ready to hand off technology management and even technology ownership to SaaS and DaaS providers, this trend will be good news. Even if this handoff requires a higher annual operating budget, it should be possible to gain savings through reduction of the number of staff needed to support such systems in house. More importantly, handing off software and device support places the cyber burden on the MSP or solution developer and allows a security team to focus on the core of their duties of identifying and assessing risks and improving their organization's preparedness.



Powering Your Business Intelligence

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Complexities in the Global Security Market: 2024 Through 2026

This all-new, unique partnership study from the Security Industry Association (SIA) and ASIS International provides market data and an overview of key drivers creating growth in the security industry.

Security Convergence

This in-depth report studies the state of security convergence and provides recommendations for unifying, aligning and converging cybersecurity and physical security practices.

The Evolving Security Industry: The Adaptation of the Systems Integrator

This research report, produced for SIA by Novaira Insights, assesses the state of integration business evolution.

Security and Infrastructure Grants Guide

This tool helps companies navigate the complicated grants processes of federal and state governments and effectively find and secure grants.

Guide to Video Retention Regulations in the Cannabis Industry

Presented by the Video Retention Working Group of SIA's Video and Vision Subcommittee, this report offers an overview of video retention regulations across various states.

SIA Federal Grants Guide

This SIA member-only resource provides a thorough guide to federal grant programs that can be applied to security improvements.

Right to Repair Laws Guide

This guide to "right to repair" laws covers state legislation that would impact security equipment manufacturers.

Supply Chain Security Principles for the Security Industry Professional

This SIA member-only resource focuses upon some of the key concepts and challenges of supply chain security.

